

Population and Structure



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The characteristics of developed, developing and emerging economies

Characteristic	Developed economies	Developing and emerging economies
Population growth	Relatively low birth rates, death rates and infant mortality rates, leading to slow rate of population	Relatively high birth rates, death rates and infant mortality rates, leading to high rate of population growth.
Population structure	Relatively large ageing population	Relatively large young population
Economic structure	Relatively high proportion of output from tertiary sector; proportion of output from primary and secondary sectors declining	Relatively high proportion of output from primary sector (although this may vary enormously); in emerging economies, tertiary will be more significant
External trade	In the past, developed economies relied heavily on the exports of manufactured products, but now reliance is on export of services	They have relied heavily on the exports of primary products; in emerging economies, there has been an increase in the exports of manufactured products

Characteristic	Developed economies	Developing and emerging economies
Urbanisation	A relatively high proportion of population live and work in urban areas.	A relatively high proportion of population have lived and worked in rural areas, but the extent of urbanisation is increasing; in emerging economies, it is also increasing.

Birth rate : It is the number of individuals born into a population in a given amount of time. It is measured as the annual number of live births per 1000 inhabitants.

* The need for large families, so that children can work at an early age, can contribute to an increase in the birth rate

* Improvements in education and health care can contribute to a decrease in the birth rate

Death rate : It is also known as mortality rate, is the number of deaths in a particular population during a particular period of time. It is measured as the annual number of deaths per 1000 inhabitants

* An epidemic or pandemic can contribute to an increase in the death rate

* Better food and nutrition and improved health services can contribute to a decrease in the death rate.

Infant mortality rate: Also known as infant death rate, is the number of deaths in a group younger than one year of age. It is measured as the annual number of deaths of those under one year old per 1000 live births

* An increase in infectious diseases can contribute to an increase in the infant mortality rate

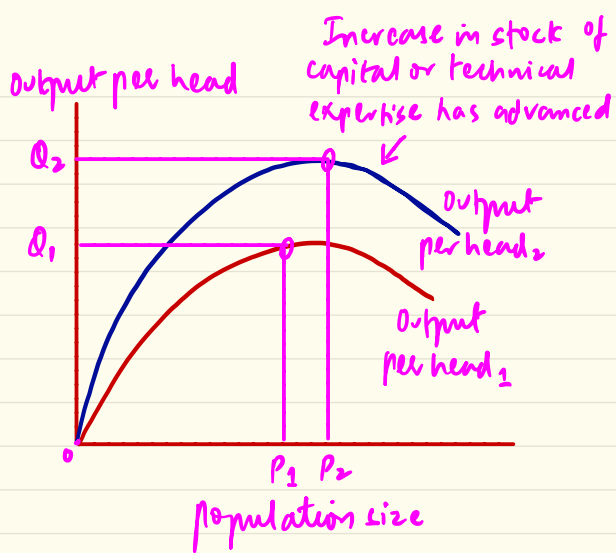
* Better health care can contribute to a decrease in the infant mortality rate

Net migration: It is the difference between the immigrants coming into, and the emigrants leaving from, a country. It is measured by the number of immigrants minus the number of emigrants over a given period of time.

* An increase in the number of immigrants coming into a country, with the number of emigrants constant, will increase net migration.

* A decrease in the number of immigrants coming into a country, with the number of emigrants constant, will decrease net migration

The optimum population: In assessing the effects of differences in population size, economists make use of the concept of optimum population. The optimum population is said to exist when output per head is the greatest, given existing quantities of the other factors of production and the current state of technical knowledge.



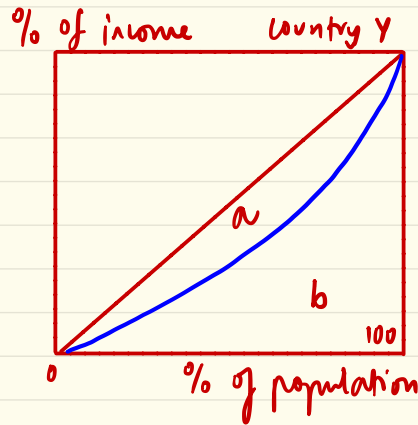
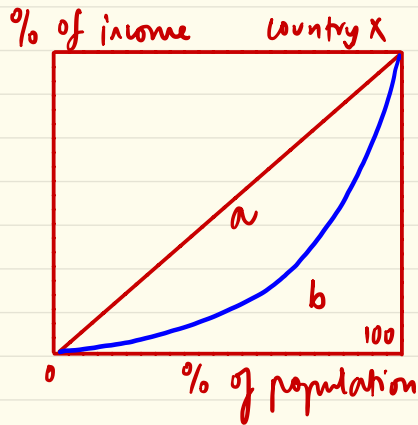
As the population grows, it can make better use of the stock of the other factors of production such as land and capital. This is because increasing returns are enjoyed as the population grows. If population is below the optimum level, the country can be described as underpopulated. When the population is beyond the optimum level and decreasing returns are being experienced, the country is said to be overpopulated. In the real world, the situation is more dynamic and the state of technical knowledge is constantly improving. The quantity of other factors also continuously changes so that the

optimum population for a country is not fixed.

Level of Urbanisation: Another aspect of population structure that needs to be considered is the level of urbanisation in a country. It needs to be pointed out that the definition of what constitutes an urban area can vary between countries. Urbanisation describes the movement of people from rural areas, that is, hamlets and villages, to urban areas, that is, towns and cities. As countries become more developed, the level of urbanisation increases. Today, 55% of the world's population live in urban areas, a proportion that is expected to increase to 70% by 2050.

Income distribution

The Gini coefficient and the Lorenz curve : The Lorenz curve is a graphical representation which shows the extent of inequality in the distribution of income in an economy. The more unequal the distribution of income, the more divergent the Lorenz curve will be from the diagonal line of total equality.



In Country 'Y' the Lorenz curve is quite close to 45-degree line of absolute equality and so income is distributed relatively evenly. In Country X, however, the Lorenz curve is further away from the 45-degree diagonal line and this shows that income is more unevenly distributed in Country X than in Country Y.

Gini coefficient is a way of measuring the extent of inequality in the distribution of income in an economy. It is measured as the ratio of the area between the 45-degree diagonal line of total equality and the Lorenz curve to the total area under the diagonal. In the diagram, it is area 'a' divided by area 'a' and 'b'. The lower the value of Gini-coefficient, the more even is the distribution of income; for example, in many developed countries, the coefficient is about 0.3. The higher the value of the Gini-coefficient, the less even is the distribution of income, for example, in many developing countries, the coefficient is about 0.5.

Employment composition

As a country becomes more developed, its employment structure and composition changes

- * **Primary sector:** As a country becomes more developed, mechanisation of farms reduces the need for farm workers and so the percentage of workers employed in the primary sector decreases
- * **Secondary sector:** As a country becomes more developed and goes through industrialisation process, many workers will leave jobs in agriculture, forestry and fishing, that is, the primary sector, and take up jobs in the secondary sector, for example, manufacturing. However, as a country develops further, there will be deindustrialisation to some extent

and the percentage of people employed in the secondary sector, having first increased, will then decrease.

* **Tertiary sector**: As a country becomes more developed, the decline in the proportion of people working in the primary and secondary sectors will continue and the proportion of people working in the tertiary sector will increase, for example, service occupations such as education and finance.

The pattern of trade at different levels of development

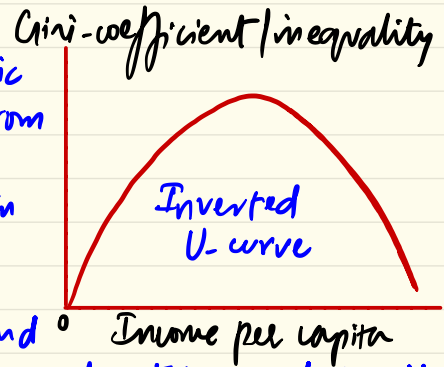
As a country becomes more developed, its pattern of trade also changes. Developing countries tend to have economies that are largely based on agriculture and so most of their exports are agricultural products and most of their imports are manufactured products.

However, developed countries tend to have economies that are largely based on manufacturing and services, so most of their exports are from the secondary and tertiary sectors.

This pattern of trade at different levels of development tends to favour developed, rather than developing countries, the price of agricultural products tends to be lower than the price of manufactured products.

Kuznets curve : It shows relationship between economic growth i.e. increase in per capita national income and income inequality (Gini-coefficient). According to this, the increase in per capita income initially raises income inequalities and then brings them down.

One explanation of this is that in early stages of economic growth, people with more money and resources benefit from it, as they are in a better position to capitalize growth opportunities, whereas wages of low income earners remain suppressed because of influx of labour from rural to urban areas. Therefore, the income disparities further rise. However, in the longrun, countries undergoing growth and development generate more resources and spend them on education and health of their population, aiming to enhance workers skills and overcome the shortage of labour. These trickle down effects lead to higher wages and increase in per capita income, leading to reduced income inequality.



Questions

Q1 Explain 5 characteristics of developed, developing and emerging economies? 20

Q2 Define following terms :- (8)

- a) Birth rate
- b) Death rate
- c) Infant mortality rate
- d) Net migration

Q3 Explain optimum population, use a diagram? 8

Q4 Explain 'level of urbanisation'? 6

Q5 Using diagrams, explain Lorenz curve and gini coefficient? 10

Q6 As economy develops, its employment structure changes, explain this statement? 8

Q7 Using a diagram, explain Kuznets curve? 8